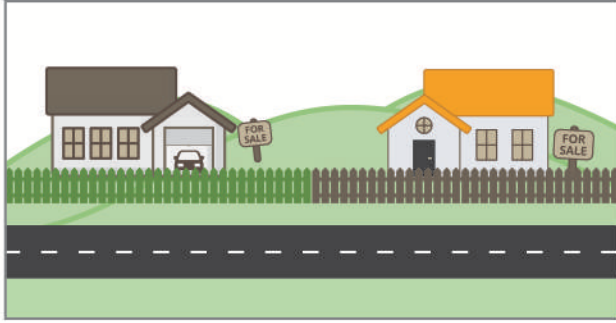


SUPPLY AND DEMAND

SUPPLY



The amount of a certain good or service that is available in the market.
(The number of properties for sale in a market).

DEMAND



The supply of willing and able buyers in the marketplace.

FACTORS THAT AFFECT SUPPLY



Scarcity (fixed amount of real estate)



Cost of Construction



Government Controls
(Zoning, Building Codes, Land-Use Controls)

FACTORS THAT AFFECT DEMAND



Population



Demographics



Employment and Wage Levels

If SUPPLY Decreases and DEMAND Increases, PRICES will Increase



If SUPPLY Increases and DEMAND Decreases, PRICES will Decrease

